ABCC 2027 Practice Series — Case 1 (Traditional Round Format)

Sparkasse Ostwestfalen: Winning Back the Under-30s

Item	Detail
Practice round type	TRADITIONAL (mirrors ABCC Traditional round; reference archetype: Access Credit Union case, ABCC 2026)
Preparation time	3 hours, closed room
Presentation	20 minutes, followed by 10 minutes Q&A
Weight in practice-series score	45%
Team	4 members; every member must present a substantive part
Permitted materials	Competition-identical (per the official ABCC rules): one laptop per student, internet research **allowed** — including university databases and generative AI — but no contact with the coach or anyone outside the team, and no cellphones or smartwatches. Deck in PowerPoint (.pptx).
Judges' role	The judging panel acts as the Management Board (*Vorstand*) of Sparkasse Ostwestfalen, joined by two members of the Supervisory Board (*Verwaltungsrat*). Address them in role.
Authorship	Original practice case written July 2026 for the HSBI ABCC 2027 team. Entirely fictional. Any resemblance to real institutions, persons, or figures is coincidental.

> ***Note on data.*** *All figures in this case — including those describing the German banking market — are* ***case data****: directionally realistic but simplified and partly fictionalised for teaching purposes. Treat them as given. Do not substitute outside knowledge, and state any additional assumptions explicitly in your presentation.*

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Then the coach-only teaching note — do not read it before you have presented.

THE CASE

1. A Monday Morning in Bielefeld

At 8:15 on a Monday morning in September 2026, Dr. Katharina Brune, Chief Executive of Sparkasse Ostwestfalen, stared at a single number on the screen in the boardroom on Kesselbrink: **57**.

That was the median age of the bank's active main-bank customers — the people whose salary or pension actually lands in a Sparkasse account each month. Below it, CFO Markus Tegeler had placed a second figure. In 2025, Sparkasse Ostwestfalen had opened roughly 1,900 new main-bank relationships with people under 25. In the same year, by the bank's own estimate, the three largest neobanks had opened around 11,000 accounts in the bank's territory in that same age group.

"We are not losing a product line," Tegeler said. "We are losing a generation. And with it, quietly, the funding base and the mortgage pipeline of the 2030s."

The Management Board had agreed on one thing before the meeting ended: at the October strategy session, it wanted to see a concrete, costed, prioritised programme of **service innovations to win back customers under 30** — not another brand campaign, and not a vague digital vision. Dr. Brune has engaged your team to prepare that recommendation. You have three hours before you present to the full board.

2. Sparkasse Ostwestfalen: A Public Bank with a Long Memory

Sparkasse Ostwestfalen ("SPK OWL") is a German public-law savings bank (*Anstalt des öffentlichen Rechts*), formed in 2019 through the merger of three district savings banks in the Ostwestfalen region of North Rhine-Westphalia. Its owners (*Träger*) are a joint municipal body formed by the City of Bielefeld and two surrounding districts. Its business territory (*Geschäftsgebiet*) covers roughly 1.04 million inhabitants: the city of Bielefeld, a ring of mid-sized towns, and a prosperous rural hinterland dense with family-owned *Mittelstand* manufacturers.

Key facts (2025, case data): total assets of €11.3 billion, customer deposits of €8.9 billion, customer loans of €7.6 billion, roughly 528,000 retail customers, about 1,720 full-time-equivalent employees, and 79 branches — down from 118 at the time of the merger. Operating profit before tax in 2025 was €59.7 million (Exhibit 3).

Three structural features matter for any strategy discussion:

- **The public mandate.** Under the Savings Bank Act of North Rhine-Westphalia, SPK OWL exists to provide banking services to the whole population of its territory, to promote saving, and to support the regional economy. Profit is necessary, but it is not the purpose. The *Verwaltungsrat* — chaired by a local mayor and including council politicians and employee representatives — watches branch coverage and community presence closely.
- **The regional principle (*Regionalprinzip*).** SPK OWL may not actively acquire customers outside its territory. Its total addressable market for the under-30 segment is therefore fixed: approximately **158,000 residents aged 16-29**, including around 38,000 students at the region's universities (Universität Bielefeld, HSBI, TH OWL in Lemgo) and roughly 29,000 apprentices in the *Mittelstand* and the skilled trades.
- **The group IT backbone.** Like nearly all German savings banks, SPK OWL runs on the shared core banking platform and the shared "Sparkasse" mobile app provided centrally by the group's IT provider, Finanz Informatik (FI). The app itself is competitive and well rated, but local customisation is limited and major feature changes depend on group-wide release cycles of 12-18 months. The bank can, however, build satellite services, local modules, and partnerships on top of the platform, and it can shape its own pricing, service model, and regional presence freely.

SPK OWL also distributes products of the Sparkassen-Finanzgruppe's partner companies: Deka (funds and securities), LBS (building savings), and a public insurer. Securities commissions — mostly Deka funds — have been one of the few growing fee lines (Exhibit 3).

3. Market Context: German Retail Banking and the Neobank Wave

(All figures in this section are case data.)

German retail banking remains crowded and structurally low-margin: around 1,350 banks, of which about 340 are savings banks and roughly 700 are cooperative banks. The national branch network has fallen from about 28,000 branches in 2014 to under 19,500 in 2025. Cash still matters — about 45% of point-of-sale transactions by count in 2025 — but its share falls every year, and the girocard, Apple Pay, and Google Pay now dominate younger customers' wallets. Since 2025, EU regulation has made instant SEPA payments a standard rather than a premium feature, and the European payment wallet Wero, backed by German banks including the savings bank group, is trying to establish itself against PayPal.

The interest-rate environment has normalised: after the 2022-23 hiking cycle, the ECB deposit rate stood at 2.0% in mid-2026. This matters twice over. First, deposits are valuable again: the bank's internal transfer pricing currently credits sight deposits with a margin of about 1.7%, expected to normalise toward 1.4% by 2028. Second, rates gave neobanks a marketing weapon: several pass interest on balances directly to customers, which incumbent banks with branch cost structures find painful to match.

The disruptive story of the decade, however, is the **neobank and direct-bank wave among the young**. In Germany (case data, early 2026): Trade Republic serves about 4.6 million customers, having grown from a broker into a licensed bank offering 2.0% interest on deposits and a cashback card; N26 has about 4.3 million German customers; Revolut roughly 2.1 million and rising fast; C24 about 1.1 million; and ING Deutschland, the largest direct bank, about 9.6 million. Surveys suggest more than 40% of Germans aged 18-29 hold at least one account with a neobank or direct bank, and for a growing share it is the main account. Their common formula: account opening in under ten minutes, no monthly fee, an app built around instant notifications and card control, free or near-free ETF savings plans, and a brand voice that speaks to twenty-year-olds without embarrassment.

Crucially for this case, the neobanks' weaknesses are also well documented (Exhibits 4 and 5): no cash infrastructure, no local presence, thin human service, and limited trust when stakes get high. Sixty-two per cent of young people in SPK OWL's own survey say they would trust the Sparkasse most "with my salary and savings in a crisis" — yet they do not bank there.

4. The Problem in Numbers

Between 2019 and 2025, SPK OWL's customers aged 16-29 fell from 95,700 to 73,300 — a net loss of roughly 3,700 per year, in a period when the region's young population was broadly stable (Exhibit 1). Worse than the headline is the quality of what remains: among account holders aged 20-29, the share whose salary or main regular inflow arrives at the Sparkasse fell from 58% in 2019 to 37% in 2025. Many young "customers" keep a near-dormant account for cash deposits or out of inertia while living financially at Trade Republic or N26.

Two mechanical drivers stand out in the bank's own data:

- **The 18th-birthday cliff.** SPK OWL still wins children: parents open most youth accounts, often alongside the traditional *Weltspartag* savings rituals. But 78% of youth accounts are opened by parents, and the relationship belongs to the parent, not the child. Of the roughly 3,400 youth accounts that reach the holder's 18th birthday each year, only 59% are still active two years later — down from 83% in 2019 (Exhibit 8). Of those who lapse, two-thirds open their new main account at a neobank or direct bank.
- **A leaky front door.** The bank's online account opening exists, but of applications started, only 58% survive the video identification step and just 34% end as a funded, card-activated account within 60 days. The median time from application to a usable card is seven days. The neobank benchmark is minutes to a virtual card and roughly 61% funded within 60 days (Exhibit 8).

The financial consequence is not yet visible in the P&L — 2025 was still a solid year — and that is exactly what worries Tegeler. Customers under 30 hold only 4.8% of deposits, and on a one-year view many are barely profitable (Exhibit 6). But customers under 35 provide roughly one euro in eleven of the deposits that fund the loan book, and 71% of today's 30-44-year-old mortgage borrowers — the bank's most valuable retail relationships — were already customers before their 25th birthday. The under-30 franchise is the pipeline for everything the bank earns money on later. It is eroding at a compounding rate.

5. A Scar That Still Itches: The "YoungS" Pilot

This is not the bank's first attempt. In 2018 the predecessor institutions launched **"YoungS"**, a standalone youth banking app with its own brand, built by an external agency outside the FI platform. It offered a stripped-down account, stickers, and a cashback scheme with two local cinema chains. It reached 4,100 downloads, converted fewer than 900 accounts, suffered from a clunky duplicate login, and was quietly discontinued in 2020 after cumulative spend of €2.1 million. Several board members draw a simple lesson — "youth apps do not work." Jonas Willeke, Head of Digital Channels, draws a different one — "half-serious side projects do not work." Your recommendation will land in the middle of that unresolved argument.

6. Voices from Inside and Outside

Dr. Katharina Brune, CEO (54): "I do not want a Sparkasse that is a museum with a treasury attached. But I also refuse to chase Trade Republic into a price war we cannot win. Our advantages are trust, physical presence, and the fact that we are *from here*. The question is whether any of that can be made to matter to a 22-year-old — in her pocket, not in a brochure."

Markus Tegeler, CFO (57): "Every euro we spend on the under-30s is a euro of today's profit spent on a hypothesis about 2035. I can defend that to the *Verwaltungsrat* — once. So bring me a business case, not a mood board: costs, breakeven, payback, and what we stop doing if it fails. And remember our cost-income ratio is drifting toward 70% while our guardrails say we hold it below 68% by 2029."

Sandra Okafor, Head of Retail (46): "Do not let anyone tell you branches are the enemy. Our survey says 44% of young people still value cash access, and the moment a customer faces a real decision — first apartment, first securities account, an inheritance — a human being becomes our conversion weapon. The problem is that nothing in our current model *brings* a 23-year-old to that human being."

Jonas Willeke, Head of Digital Channels (34): "Our app is genuinely good — better than its reputation with people who have never opened it. What we lack is everything around it: opening an account takes days, our youth pricing is a maze, we have no in-app investing worth the name for this generation, and our tone of voice is a savings contract from 1987. Also, be honest about FI: anything deep in the app takes twelve to eighteen months. Anything we bolt on around it, we control ourselves."

Heinrich Stüve, branch manager, Gütersloh (58): "Every autumn I stand in school gyms at career fairs, next to a table of free pens. The apprentices like us — until they get their first wage and their foreman tells them he banks with ING. We are invisible at exactly the moments that decide the next forty years."

Aylin Demir, 23, dental assistant, focus-group participant: "I have a Sparkasse account from when I was twelve. I use it to deposit tips, that's it. My salary goes to Trade Republic — two per cent interest and my ETF plan costs nothing. Honestly? If the Sparkasse gave me a fair account and decent investing in one app, I might come back. But I'm not paying five ninety a month for a bank that sends me letters."

Petra Vollmering, Mayor and Chair of the Verwaltungsrat (61): "Whatever the board proposes, it must be explainable at a town-hall meeting: no branch closures smuggled in under a youth strategy, and visible engagement for schools and clubs. The Sparkasse's dividend funds our swimming pool. Its presence funds our trust."

Dieter Hanke, Works Council Chair (55): "Innovation, fine — but with our people, not around them. If student ambassadors and campus hubs mean new roles, we negotiate training and staffing early. Surprise us, and everything gets slower."

7. Seven Options on the Whiteboard

At a management offsite in August, seven candidate initiatives were sketched and roughly costed (details in Exhibit 7). They are neither mutually exclusive nor collectively exhaustive, and none has been validated:

- **A. "S-Move" youth experience layer** inside the existing Sparkasse app: a configurable young-customer mode (goals, spending insights, sub-accounts, youth content), built as an FI module plus local development.
- **B. Onboarding and switching overhaul:** account opening in under ten minutes with instant virtual card, a redesigned identification flow, and a "salary-switch concierge" that moves direct debits and informs employers.
- **C. Youth pricing move:** free current account until the 30th birthday plus 1.5% interest on balances up to €10,000 for under-30s.
- **D. "S-Invest Young":** zero-commission ETF savings plans from €10 per month and fractional investing, delivered with Deka/S-Broker, with young-customer onboarding into securities in minutes.
- **E. Regional roots programme:** three campus hubs (Bielefeld, Lemgo, Gütersloh), 25 paid student ambassadors, a structured apprentice programme with 40 *Mittelstand* employers, and financial-literacy modules in schools.
- **F. Gamified saving and budgeting:** round-ups, savings goals and challenges, and cashback with roughly 150 regional merchants.
- **G. Greenfield digital youth bank:** an own-branded neobank on a modern stack, outside FI — the "if you are serious, be serious" option championed by one board member and dreaded by the CFO.

8. Constraints and Guardrails

The board has set explicit guardrails for the October decision:

1. **Investment budget:** at most **€15 million cumulative one-off investment 2027-2029**.
2. **Recurring cost:** at most **€4.5 million additional recurring cost per year** in steady state (2029), net of directly attributable savings.
3. **Payback:** positive NPV at the bank's 8% planning rate with **payback within six years**.

4. **Regional principle:** growth must come from the bank's own territory — win-back, activation, and share of wallet, not national expansion.
5. **Public mandate and politics:** no reduction of the branch network as part of this programme; works council involved early; the programme must be presentable to the *Verwaltungsrat*.
6. **Platform reality:** deep changes to the core app follow FI release cycles (12-18 months); satellite builds, pricing, service, and partnerships are in the bank's own hands.

EXHIBITS (CASE DATA)

Exhibit 1 — Retail customers by age band, 2019-2025

(Number of customers, end of year; case data)

Age band	2019	2022	2025	Change 2019-25
Under 16	33,800	31,900	29,600	-12.4%
16-19	27,400	25,200	22,900	-16.4%
20-24	33,100	28,700	24,300	-26.6%
25-29	35,200	30,400	26,100	-25.9%
30-39	71,300	69,800	68,900	-3.4%
40-49	84,600	81,200	78,400	-7.3%
50-64	137,900	139,500	140,200	+1.7%
65+	129,400	133,600	137,800	+6.5%
Total	**552,700**	**540,300**	**528,200**	**-4.4%**

Supplementary indicators:

Indicator	2019	2022	2025
Residents aged 16-29 in territory	159,000	158,500	158,000
SPK OWL account penetration, 16-29	60%	53%	46%
Share of 20-29 account holders with salary/main inflow at SPK OWL	58%	47%	37%
Estimated share of *new* main-bank relationships among 18-24-year-olds in territory won by SPK OWL	41%	28%	19%
Estimated share won by neobanks/direct banks	21%	35%	52%

Exhibit 2 — Channel usage and product holdings by age band, 2025

(Active customers; case data)

Age band	App logins per month	Branch visits per year	Share naming app as primary channel	Products per customer	Share holding a securities account
16-19	19.2	0.6	87%	1.6	9%
20-24	16.8	0.8	84%	1.9	14%
25-29	14.1	1.1	79%	2.3	19%
30-44	11.9	1.7	68%	3.4	27%
45-59	8.2	2.9	51%	3.9	31%
60+	4.1	6.8	24%	3.1	22%

Exhibit 3 — Retail segment P&L extract, 2023-2025

(EUR million; management accounts; case data)

	2023	2024	2025
Net interest income	171.4	183.9	176.2
Net fee and commission income	61.8	63.5	65.1
— of which payments and accounts	31.2	31.9	32.4
— of which securities business (Deka/S-Broker)	14.6	15.8	17.2

	2023	2024	2025
— of which insurance, building savings, other	16.0	15.8	15.5
Total operating income	**233.2**	**247.4**	**241.3**
Staff costs	-98.6	-101.9	-104.7
Other administrative costs (incl. FI IT levy)	-59.3	-61.8	-63.9
Total operating costs	**-157.9**	**-163.7**	**-168.6**
Cost-income ratio	67.7%	66.2%	69.9%
Risk provisions	-8.1	-11.4	-13.0
Operating profit before tax	**67.2**	**72.3**	**59.7**

Memo items (2025): customer deposits €8.9bn; customer loans €7.6bn; deposits held by customers under 30: €427m (4.8% of total); deposits held by customers under 35: ~9% of total. Internal deposit margin credited on sight deposits: 1.7% (planning assumption: 1.4% by 2028). Board guardrail: cost-income ratio below 68% by 2029.

Exhibit 4 — Competitor snapshot, early 2026

(Case data; "SPK OWL" = Sparkasse Ostwestfalen)

Dimension	SPK OWL	N26	Trade Republic	Revolut	C24	ING Deutschland
Customers, Germany (m)	0.53 (region only)	4.3	4.6	2.1	1.1	9.6
Monthly fee, standard account	€5.90 (€0 to age 21; €4.90 ages 22-27 if in education)	€0	€0	€0	€0	€0 with €700+ monthly inflow, else €4.90
Interest on balances	0.0% current; 0.5% savings	up to 1.3%	2.0%	1.5%	1.5%	1.25%
ETF savings plan cost	from €2.00 per execution; Deka funds with 2.5-3.75% front load	€0 (limited range)	€0	€0-1	€0	€0 (promoted range)
Account opening time	~7 days to usable card (median)	~10 min, instant virtual card	~10 min, instant virtual card	~10 min	~15 min	~1-2 days
App store rating (iOS)	4.4	4.7	4.8	4.7	4.6	4.8
Instant push, card control, spending analytics	partial	yes	yes	yes	yes	yes
Crypto trading	no	yes	yes	yes	no	no
Branches in region	79	0	0	0	0	0
Cash deposit/withdrawal network	dense (own ATMs + branches)	limited (retail partners, fees)	limited	limited	limited	withdrawal only
Aided brand awareness, 16-29, region	96%	88%	84%	71%	55%	90%
"Would consider as main bank", 16-29, region	31%	46%	52%	33%	24%	44%

Exhibit 5 — Survey of 16-29-year-olds in the territory, May 2026

(n = 1,204; commissioned from IMK Marktforschung; quotas matched to regional population; case data)

5a. "Which bank holds your main account?"

Main bank	All 16-29	16-19	20-24	25-29
Sparkasse Ostwestfalen	34%	51%	29%	24%
Neobank (N26, Trade Republic, Revolut, C24)	32%	18%	38%	39%
Direct bank (ING, DKB, comdirect)	17%	9%	19%	23%
Volksbank (cooperative)	11%	15%	9%	9%

Main bank	All 16-29	16-19	20-24	25-29
Other	6%	7%	5%	5%

5b. Neobank main-bank users: "Why did you choose it?" *(multiple answers)*

Reason	Share
No monthly fees	68%
Better app experience	57%
Instant notifications and card control	49%
Free ETF savings plans / interest on balances	46%
Account opened in minutes	41%
"Feels made for people like me"	38%
Friends use it	29%
Dislike of branch appointments and paperwork	22%

5c. All respondents: "What would make you use the Sparkasse as your main bank?" *(multiple answers)*

Condition	Share
Free account until age 30	61%
Interest on my balance	54%
Commission-free ETF savings plans	47%
Good cash and ATM access	44%
Account opening in minutes	39%
A human advisor when I need one	37%
Help with first apartment / first job admin	28%
Events, sponsoring, community engagement	12%
Nothing — would not switch	14%

5d. Attitudes and loyalty indicators, 16-29

Indicator	SPK OWL	Trade Republic	N26	ING
Net Promoter Score	-18	+46	+31	+24
"Would trust most with my salary and savings in a crisis"	62%	31%	24%	41%

Additional findings: among 20-29-year-olds who hold a SPK OWL account but bank mainly elsewhere, 71% keep the account "for cash deposits, regional payments, or just in case." 43% of all respondents expect to need mortgage advice within ten years. German current-account holders switch their main bank at a rate of roughly 4-6% per year (market-wide case datum).

Exhibit 6 — Unit economics per retail customer by age band, 2025

(Per customer per year, EUR, allocated management accounting; case data)

Age band	Avg. deposits €	Avg. loans €	Net interest contribution	Net fee income	Allocated cost to serve	**Annual contribution**
16-19	1,450	0	24	5	42	**-13**
20-24	2,750	300	51	29	61	**+19**
25-29	5,900	1,100	104	62	79	**+87**
30-44	13,800	9,400	248	121	108	**+261**
45-59	21,300	6,800	341	158	121	**+378**
60+	26,900	900	322	141	129	**+334**

Memo items: 71% of current 30-44-year-old mortgage borrowers were SPK OWL customers before age 25. Within the 30-44 band, mortgage customers contribute on average €640 per year versus €95 for customers

without a loan. Replacing lost retail deposits with wholesale funding currently costs an estimated 60-90 basis points in spread. Internal planning discount rate: 8%. Observed annual retention of main-bank customers aged 25+: 96-98%.

Exhibit 7 — Strategic options: preliminary cost estimates

(Pre-feasibility estimates from the August offsite; case data)

Option	One-off investment (€m)	Recurring cost (€m p.a., steady state)	Time to launch	Notes
A. "S-Move" youth experience layer in app	6.5	1.6	14-18 months	Depends on FI release cycle; local satellite elements possible earlier
B. Onboarding and switching overhaul	3.1	0.7	6-9 months	Instant virtual card; new ident flow; salary-switch concierge
C. Youth pricing (free to 30; 1.5% on first €10k)	0.2	3.4	3 months	≈ €1.2m forgone fees + ≈ €2.2m interest cost at current balances
D. "S-Invest Young" zero-commission ETF plans	2.4	0.9	9-12 months	Recurring figure is net of ≈ €0.8m cannibalised Deka commissions
E. Regional roots programme (hubs, ambassadors, apprentices, schools)	1.8	1.3	3-6 months	Works council involvement required for new roles
F. Gamified saving, budgeting, regional cashback	2.6	0.8	9-12 months	Merchant recruitment effort uncertain
G. Greenfield digital youth bank	38.0	11.5	30+ months	Outside FI stack; CFO flags as "existential bet"

Board guardrails (repeated): ≤ €15m cumulative one-off 2027-2029; ≤ €4.5m net additional recurring cost p.a. in steady state; NPV-positive at 8% with payback ≤ 6 years.

Exhibit 8 — Onboarding funnel and the 18th-birthday cliff

(Case data)

8a. Online account opening funnel, 2025 (share of applications started; 16-29-year-old applicants)

Funnel step	SPK OWL 2025	Neobank benchmark
Application started	100%	100%
Personal data completed	74%	90%
Identification (video ident) completed	58%	78%
Account opened	51%	74%
Card activated and account funded within 60 days	34%	61%
Median time from application to usable card	7 days	minutes (virtual card)

Applications started by 16-29-year-olds in 2025: 9,400.

8b. Youth account conversion at age 18

Indicator	2019	2022	2025
Youth accounts reaching holder's 18th birthday (per year)	3,700	3,500	3,400
Still active main relationship at age 20	83%	72%	59%
Of lapsed: opened main account at neobank/direct bank	41%	55%	68%
Share of youth accounts originally opened by a parent	74%	76%	78%

YOUR TASK

You are the strategy team engaged by Dr. Brune. In **three hours**, prepare a **20-minute board presentation**, followed by **10 minutes of Q&A** with the Management Board and two *Verwaltungsrat* members. The board expects answers to four questions:

1. **Diagnosis.** Why, precisely, is Sparkasse Ostwestfalen losing the under-30s — and what is the quantified value at stake if nothing changes?
2. **Recommendation.** Which portfolio of service innovations should the bank pursue, in which order, and why these and not the others? Your programme must respect all guardrails in Section 8 (budget, recurring cost, payback, regional principle, public mandate, platform reality).
3. **Business case.** Costs, expected benefits, the number of retained or won-back main-bank customers required to break even, key sensitivities, and the effect on the cost-income ratio guardrail.
4. **Implementation.** A 3-year roadmap (2027-2029) with measurable targets and KPIs, the top risks with mitigations, and your handling of the three delicate stakeholders: Finanz Informatik dependency, the works council, and the *Verwaltungsrat*.

Deliverable specification

Requirement	Specification
Presentation	20 minutes; slide deck submitted as .pptx at the end of prep time (simulated USB hand-in); all four team members present substantive content
Q&A	10 minutes; judges act in role as board members; any team member may answer
Analysis	Every quantitative claim traceable to an exhibit or an explicitly stated assumption; cite exhibit numbers on slides
Recommendation	A clear, prioritised programme with a stated total cost tested against the guardrails; an explicit statement of what you rejected and why
Targets	At minimum: a 2029 target for under-30 main-bank relationships and for the 18th-birthday retention rate, each with baseline and logic
Appendix	Optional backup slides allowed and encouraged for Q&A
Conduct	ABCC rules apply: internet and generative AI permitted during prep; no coach/outside contact; no phones or smartwatches; deck handed in as .pptx at the 3-hour mark (simulate the USB pickup)
Weight	45% of the practice-series score, mirroring the ABCC Traditional round

=== TEACHING NOTE (coach only) ===

Do not distribute to the team before the debrief.

1. Purpose and fit

This case mirrors the ABCC Traditional-round archetype (reference: Access Credit Union, ABCC 2026): a community-anchored, member/public-mandate financial institution facing youth attrition to digital challengers, asking for **service innovation with a business case**, under explicit constraints, presented to a board. It rewards exactly the muscles the team must train: fast structuring, disciplined use of 8 exhibits, a small but real financial model, a prioritised (not exhaustive) recommendation, and stakeholder-aware implementation. It also deliberately embeds German institutional texture (*Regionalprinzip*, public mandate, FI platform, works council) that the team can transfer to any regulated-incumbent case.

2. Suggested prep clock and role split (3:00)

Time	Activity
0:00-0:20	Individual read; team aligns on problem statement and storyline hypothesis
0:20-1:20	Parallel work: finance lead builds model (Section 4 below); CS lead mines Exhibits 5 and 8; innovation lead designs and screens option portfolio against guardrails; BA lead drafts storyline and slide skeleton
1:20-1:40	Midpoint sync: lock recommendation and headline numbers
1:40-2:30	Slide production; finance lead stress-tests guardrails and builds sensitivity backup
2:30-2:50	Run-through once, timed; assign Q&A domains
2:50-3:00	Buffer, .pptx save, USB hand-in

3. Core insight and solution sketch

The core insight the case is engineered to reward: this is not an "app problem" (the app is rated 4.4; Exhibit 4) and not primarily a brand problem (96% awareness, 62% crisis trust). It is a **lifecycle-pipeline problem with three mechanical leak points** — a leaky front door (funnel, Exhibit 8a), a cliff at 18 caused by parent-owned relationships (Exhibit 8b), and a value proposition that is objectively inferior on the three things young customers say drive choice: price, interest/investing, and opening speed (Exhibits 4, 5b, 5c). The strategic frame is **CLV defence**: under-30s look worthless on a one-year view (Exhibit 6) but are the sole

feeder of the 30-44 mortgage cohort (71% memo item), and the *Regionalprinzip* means lost locals cannot be replaced elsewhere.

A strong benchmark recommendation (not the only defensible one): a phased portfolio of **B + modified C + D + E**, explicitly rejecting G, deferring A to a phase-2 decision gated on FI's release cycle, and treating F as an optional feature inside A rather than a programme.

- Phase 1 (2027): B (fix the funnel and switching) + modified C + E (be present at the moments of choice: age 18, first wage, first semester).
- Phase 2 (2027-28): D (investing is the #1 functional magnet neobanks own; delivering it via Deka/S-Broker converts the bank's securities momentum, Exhibit 3, into a youth product).
- Phase 3 (2028-29): A, scoped after FI roadmap clarity.

The guardrail trap is intentional: naively stacking B+C+D+E busts the recurring guardrail (0.7 + 3.4 + 0.9 + 1.3 = €6.3m > €4.5m). Strong teams *redesign* rather than drop — e.g., cap the interest offer at €5,000 (halves the €2.2m interest cost), make the fee waiver end at 27 or condition it on salary inflow (trimming forgone fees and rewarding main-bank behaviour), and phase E's hubs. A redesigned B+C+D+E package lands around €7.5m one-off (3.1 + 0.2 + 2.4 + 1.8 per Exhibit 7) and €4.0-4.5m recurring — inside all guardrails; a full app rebuild (A) stays a separately gated Phase-3 decision outside these figures, since its €6.5m one-off and €1.6m steady-state recurring would break the guardrails if bundled. Teams should also note that C's "cost" partly buys measurable main-bank inflows (salary condition), converting a giveaway into an activation lever. Rejecting G needs one slide: it violates the budget by 2.5x, repeats the YoungS lesson at scale, and its sole advantage (speed outside FI) is achievable more cheaply via satellite builds (B, D).

Targets a good team commits to (from the data): raise 18th-birthday retention from 59% toward 75-80% (≈ +550-700 retained per year, Exhibit 8b); raise funnel completion from 34% to ~55-60% funded (≈ +2,000-2,500 activated accounts per year on 9,400 applications, more with growth); win back dormant holders (the 71% "just in case" segment, Exhibit 5d) via salary-switch and investing — a plausible consolidated target of **+9,000 to +10,000 under-30 main-bank relationships by 2029** and main-bank share among 20-24-year-olds from 29% toward 40% (Exhibit 5a).

4. The quick financial model (finance lead)

The case is calibrated so a defensible model fits in 30-45 minutes of Excel:

1. **CLV of a retained/won 22-year-old.** Take the contribution path from Exhibit 6 (ages 22-24: €19; 25-29: €87; 30-44: €261; 45-59: €378), apply annual retention 96-98% and the 8% planning rate. This yields roughly **€1,100-1,500 NPV**. Adding mortgage cross-sell optionality (e.g., 30% probability × the €640 vs €95 memo differential over ten years, discounted) adds **€400-600**, for a headline of ≈ **€1,500-2,100 per main-bank relationship**. Any figure in €1,200-2,500 with transparent assumptions deserves full marks; the marks are for building it, stating retention/discount assumptions, and using it consistently.
2. **Value at stake of inaction.** Net attrition ≈ 3,700 under-30 customers per year (Exhibit 1) × ≈ €1,500-2,000 ≈ **€6-7m of NPV destroyed per vintage year**, compounding. Sophisticated teams add the **funding angle**: €427m under-30 deposits at 60-90bp wholesale replacement spread = **€2.6-3.8m p.a.** of additional funding cost if the deposit base migrates — a defensive value most teams miss.
3. **Programme economics.** Redesigned B+C+D+E package ≈ €7.5m one-off + ≈ €4m net recurring (option A separately gated, not in these figures). Breakeven: roughly **6,000-8,000 incremental main-bank relationships over the plan horizon** at €1,500-2,000 CLV — then cross-check feasibility bottom-up against the three levers in Section 3 (funnel + cliff + win-back), which plausibly deliver 3,000-4,000 per year by 2029. The bottom-up/top-down triangulation is the hallmark of a top-quartile team.
4. **Sensitivities to show:** deposit margin normalising 1.7% → 1.4% (Exhibit 3 memo) cuts young-cohort NII ≈ 18%; stated-preference discount on survey conversion (see below); Trade Republic raising rates (price-war scenario — supports capping the interest offer); CIR bridge showing the programme adds ≈ 1.5-1.9 points of cost against ≈ €241m income, hence the need to state how the 68% CIR guardrail is met (income growth + existing efficiency programme, not branch cuts).

5. Data analysis opportunities (CS lead)

With offline tools and 8 exhibits, the CS lead can visibly differentiate the team:

- **Funnel waterfall (Exhibit 8a):** quantify each leak; show that lifting ident completion 58% → 78% and post-open funding 34% → 55-60% yields +2,000-2,500 funded accounts p.a.; design a simple A/B test plan and a KPI tree (applications → funded → salary inflow → products ≥ 2) for the roadmap slide.

- **Survey cross-analysis (Exhibit 5):** map stated switching conditions (5c) to options (C, D, B, E); apply an explicit **stated-intent discount** (e.g., only 30-50% of stated intent converts, bounded by the 4-6% market switching rate) — this single caveat, stated aloud, reliably impresses judges.
- **Segment prioritisation:** the 71% "dormant but still holding an account" group is the cheapest win-back pool (no acquisition needed, only activation); contrast CAC of activating a dormant holder vs. acquiring a neobank-native.
- **Impact-vs-cost matrix** of options A-G using Exhibits 5 and 7, making the rejection of G and deferral of A visual in one chart.

6. Common traps

1. **Choosing G** (greenfield neobank): budget breach, YoungS lesson, no distinctive advantage — instant credibility loss with the CFO.
2. **Stacking all options** without noticing the €4.5m recurring guardrail — the case's built-in discipline test.
3. **Price-war framing:** promising to out-yield Trade Republic; strong answers cap and condition the pricing move.
4. **Ignoring the Regionalprinzip:** any slide implying national growth or "scaling beyond the region" signals the case was not read.
5. **Branch-slashing:** violates an explicit guardrail and the *Verwaltungsrat* politics; the survey (44% cash access; 37% human advisor) shows the network is an asset to *repurpose*, not close.
6. **Blaming the app:** Exhibit 4's 4.4 rating and FI dependency are there to punish "rebuild the app" answers and reward satellite/onboarding answers.
7. **No numbers, or numbers without assumptions:** averages recited from exhibits instead of the cliff/funnel mechanics; or a CLV pulled from thin air.
8. **Implementation amnesia:** no FI timeline realism, no works-council step, no measurable 2029 targets.

7. Q&A ambush bank (for the coach playing the board)

1. "Trade Republic moves to 2.5% tomorrow. Do you follow?" *(Looking for: capped offer, trust/regional differentiation, refusal of price war.)*
2. "Why will this succeed where YoungS failed?" *(Integrated vs. standalone, funded vs. pilot, measurable funnel targets.)*
3. "The Verwaltungsrat halves your budget tonight. What survives?" *(Forced ranking — B and the cliff fix should survive.)*
4. "Your free accounts give away fees from under-30s who already pay. How much cannibalisation is in your model?" *(≈ €1.2m forgone fees, Exhibit 7 note — did they see it?)*
5. "61% say they'd switch for a free account. Why do you not model 61%?" *(Stated-intent discount, 4-6% switching base rate.)*
6. "What exactly is a 'main-bank relationship' in your KPI, and how do you measure it?" *(Salary/regular inflow definition, Exhibit 1.)*
7. "How does your programme touch our sub-68% CIR commitment?" *(CIR bridge; income growth, no branch closures claimed.)*
8. "Which initiative do you kill first if 2028 numbers disappoint, and at what threshold?" *(Pre-committed stage gates.)*

8. Scoring rubric (100 points)

Dimension	Points	What distinguishes top scores
Problem definition and prioritisation	10	Frames lifecycle/CLV pipeline, names the three leak points; not "banks must digitalise"
Analysis and insight from exhibits	15	Uses ≥ 6 exhibits; finds the cliff (8b), the parent-ownership insight, the dormant-holder pool, the 71% mortgage memo
Financial model and business case	20	CLV built with stated assumptions; value at stake; breakeven customers; guardrail test; ≥ 2 sensitivities
Recommendation and strategic logic	15	Prioritised, phased, within guardrails; explicit rejections (G) with reasons; differentiation logic vs. neobanks
Implementation, risks, KPIs	20	3-year roadmap, 2029 targets with baselines, FI/works council/*Verwaltungsrat* handling, stage gates — mirrors the official rubric's heaviest weight (Implementation & Resources 2.5×)
Presentation and storyline	10	Answer-first, consistent numbers across slides, all four members substantive, 20:00 discipline
Q&A performance	10	In-role composure, defends numbers, concedes gracefully, uses backup slides

Dimension	Points	What distinguishes top scores
Total	**100**	

Suggested band interpretation: 85+ excellent (competition-ready); 70-84 solid with gaps; 55-69 structure present but analysis thin; below 55 re-run the drill. Apply a 2-point deduction per 30 seconds overtime, mirroring competition discipline.

9. Coach check figures (for fast verification during debrief)

Quantity	Defensible range
CLV per retained/won young main-bank customer (8%, 96-98% retention)	€1,200-2,500
NPV destroyed per vintage year of inaction	€5-8m
Funding cost exposure on under-30 deposits	€2.6-3.8m p.a.
Redesigned package cost (B+C+D+E)	≈ €7.5m one-off; €4.0-4.5m recurring (A excluded, Phase-3 gate)
Breakeven incremental main-bank relationships	6,000-8,000 over plan
Funnel fix yield	+2,000-2,500 funded accounts p.a.
Cliff fix yield (59% → 75-80% at ~3,400/yr)	+550-700 retained p.a.
Sensible 2029 headline target	+9,000-10,000 under-30 main-bank relationships; 20-24 main-bank share 29% → ~40%